

Providing financial aid

As the Indian States started vying for railway lines, three systems fell into place. There were Princely States that funded, constructed, and managed the lines themselves or handed the work to the main companies. Some such as Morvi, Bhavnagar, Jodhpur, Bikaner, Gwalior, and Baroda fell into this category with lines opening up between 1873–1900. Then there were those who provided money to the Government of India in exchange for interest, a share of profits, or certain privileges, as did Maharaja Holkar of Indore or the Scindia Railways. The Government was in charge of construction and management.

The Nizam's and the Mysore State Railways followed the third system wherein they signed a contract with guaranteed companies who managed the lines as well as the construction and working of the extension. It was partly funded by the Princely States.